

APPENDIX 4.4
(referred to in paragraphs 2.75, 2.109, 4.52 and 5.17)

Introduction of competition and removal of domestic gas supply price controls

April 1996	Domestic gas market (that is, all customers consuming less than 73 MWh (2,500 therms) a year) in the West Country was opened up to competition, followed up by phased introduction of competition in other areas.
February 1997	British Gas plc demerged into BG and Centrica. For the period ending in March 2000, Centrica had four separate price controls covering gas supply (including meter reading) for direct debit, prompt payment, standard credit and prepayment domestic customers. These were each subject to an RPI-4 formula (transportation, storage, meter provision and gas costs were passed through).
March 1997	Centrica introduced a special tariff option for direct-debit customers in the first area with competition, giving them an average saving of 5.5 per cent in return for accepting a 12-month supply agreement.
July 1997	Centrica applied to Ofgas for a rebalancing of its price controls to reduce direct debit and prompt pay prices and increase standard and prepayment prices.
September 1997	Centrica announced revisions to its Great-Britain-wide tariffs to apply from January 1998. Prices were reduced for direct-debit customers (by 9 per cent), prompt-payment customers (8 per cent) and standard customers (1 per cent). No reduction for prepayment customers. Centrica extended the special tariff option to direct-debit customers in the second area with competition.
January 1998	The tariff changes announced in September 1997 took effect and Centrica brought the special tariff option for direct-debit customers in competitive areas into line with the Great-Britain-wide tariff.
January 1998	Ofgas asked gas suppliers affiliated to public electricity suppliers (PESs) to undertake not to offer gas to customers in their own monopoly electricity supply areas except in parts that were open to competition. The Office of Electricity Regulation and Ofgas asked Centrica and PESs to give undertakings that they would not enter into dual-fuel contracts in their home areas until their supply monopolies there had ended.
May 1998	Centrica withdrew its price cap rebalancing application but Ofgas concluded that its prices were no longer cost-reflective and in June 1998 proposed a retrospective modification to the supply price control backdated to April 1998. New price controls were introduced for 1998/99. Caps for direct-debit customers were reduced from £23.66 to £20.33 (standing charge) and from 0.0020p per kWh (0.06p per therm) to 0.0017p per kWh (0.05p per therm) (unit charge). Caps for prompt-pay customers reduced from £17.56 to £13.87 (standing charge) and increased from 0.0553 kWh (1.62p per therm) to 0.0594p per kWh (1.74p per therm) (unit charge). The standard and prepayment price caps were unified by bringing the prepayment tariff into line with the standard tariff (a reduction of around 3 per cent). Customer prices were revised from October 1998 and again from March 1999 to allow for the RPI-4 efficiency factor.
May 1998	Whole domestic gas market now open to competition.
September 1998	Supply areas of four PESs opened up to competition for domestic electricity customers. Centrica starts supplying electricity customers.
May 1999	All PES supply areas were now open to domestic electricity competition. Centrica had 1.5 million electricity customers.

April 2000	Price controls for Centrica's direct-debit gas customers were removed. Ofgem introduced price caps 'for one year' for Centrica's prompt payment, standard and prepayment customers. P ₀ reductions of around 5 per cent were set in each case. Centrica reduced its gas prices with effect from April 2000.
December 2000	Ofgem issued initial proposals for the removal of Centrica's price caps for domestic gas customers.
February 2001	Centrica announced a price increase to take effect in April 2001.
April 2001	Centrica's price caps other than relative price limits for prepayment customers were removed. Maximum limits were set for the differentials between Centrica's prices for prepay/late-pay customers and (a) prompt-pay and (b) direct-debit customers.
December 2001	Centrica announced a price increase to take effect in January 2002.
April 2002	The last gas supply price controls (on prices for prepayment customers) were removed.